

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 17-05

CMI DISTRIBUTION, INC.

COMPLAINANT,

v.

SERVICE BY AIR, INC., RADIANT CUSTOMS SERVICES INC. (FORMERLY KNOWN
AS SBA CONSOLIDATORS, INC.) and LAS FREIGHT SYSTEM LTD.

RESPONDENTS.

SUR-REPLY OF RESPONDENTS
SERVICE BY AIR, INC. AND RADIANT CUSTOMS SERVICES INC.

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I. Introduction and Summary of Argument

Attempting to show that Service By Air, Inc. (“SBA”) is a “shipper,” and perhaps thus an NVOCC, CMI Distribution Inc. (“CMI”) relies on various bills of lading issued by non-party entities that purport to name SBA as “consignee.” CMI’s reliance on these documents is misplaced, and its argument contradicted by the customs forms and other bills of lading submitted with the Joint Appendix.

While focusing on non-party-issued bills of lading, CMI ignores the bills of lading issued by LAS Freight System Ltd. (“LAS Freight”), the NVOCC SBA engaged to facilitate most of the subject ocean transports from China. None of the LAS Freight bills of lading name SBA as either consignee or shipper. Moreover, the U.S. Customs and Border Protection forms on record for each container (1) name CMI Distribution LLC as the “Ultimate Consignee,” and (2) do not reference SBA’s SCAC code. The bills of lading upon which CMI bases its argument are therefore directly contradicted both by other bills of lading in the record and official Department of Homeland Security forms.

The Presiding Officer should reject CMI’s argument that SBA is a “shipper” and thus an NVOCC, and conclude that SBA is not an NVOCC.

II. Argument

A) Documents CMI cites in the Joint Appendix do not establish that SBA is a “shipper.”

Relying on select documents in the Joint Appendix, CMI asserts that “SBA acted as a shipper in its relationship with other common carriers.” CMI Distribution Inc.’s Reply Br. at 6 (“Reply”). CMI alleges that these “NVOCC bills of lading” name SBA as the “consignee,” and

that SBA is therefore a “shipper” in its relationship with those other entities. *Id.*¹ The documents in the Joint Appendix, however, undermine and directly contradict this assertion.

Some of the documents CMI labels as “NVOCC bills of lading” are *not* bills of lading at all. Rather, they are “Arrival Notice/Freight Invoice[s].” *See* JA00007; JA00048; JA00559; Reply at 6 n.6.

More importantly, each Folder² that contains a bill of lading naming SBA as “consignee” also contains at least one other bill of lading that names CMI or some other entity as “consignee.” Moreover, most Folders also contain a Department of Homeland Security U.S. Customs and Border Protection Form 3461 (CBP Form 3461) that names *CMI Distribution LLC* as the “Ultimate Consignee.” “No CBP Form 7501 states any ‘air waybill’ numbers” that match an SBA “air waybill” form that CMI relies upon. *See* CMI Distribution Inc.’s Responses to Respondents Service By Air, Inc. and Radiant Customs Services Inc. Findings of Fact at 13 (Fact 26 admitted). Neither CBP Form 7501 nor CBP Form 3461 lists SBA’s SCAC code “SVBA.”

For example, in Folder 58, CMI cites to JA00489 as an “NVOCC bill[] of lading showing SBA as the consignee.” Reply at 6 n.6. That document is an ACME Freight Services Corp. bill of lading (for combine transport and port to port shipment), number QD15030134. *See* JA00489. In that same Folder is an LAS Freight Bill of Lading, number Q1NCH11503007. *See* JA00500. The LAS Freight bill of lading names CMI Distribution LLC as the Consignee (and Weifang Sunshine Plastic Co., Ltd. as the Shipper). *See id.*

¹ Specifically, CMI argues, citing 46 U.S.C. §40102(22)(C), that SBA is an NVOCC “because the Shipping Act defines ‘the person to whom delivery is to be made’ as a ‘shipper.’” SBA notes that it would be exceedingly unusual, if not unprecedented, for an entity to be held as operating as an NVOCC only because it is named as a consignee on a carrier’s bill of lading.

² Pursuant to the Presiding Officer’s Order, the documents in the Joint Appendix are divided into Folders, one for “each container for which CMI seeks a reparation award.” Order Amending Scheduling Order at 2 (May 16, 2018).

Folder 58 also contains a CBP Form 3461, which similarly lists CMI Distribution LLC as the “Ultimate Consignee.” *See* JA00492. The listed bills of lading numbers are: V6003033984, QY7022634, and QD15030134. *See id.* Neither CBP form 3461 nor CBP Form 7501 list SBA’s SCAC code “SVBA” before the bill of lading numbers. *See* JA00492–JA00493.

A similar pattern—CMI-cited bills of lading naming SBA as “consignee” issued by non-party entities, bills of lading issued by LAS Freight naming CMI or another entity as consignee and/or shipper, and a CBP Form 3461 naming CMI as the Ultimate Consignee with no reference to SBA’s SCAC code—is repeated in almost every Folder in the Joint Appendix. Attached as an Appendix to this Sur-Reply is a table that identifies these documents and this information as found in each Folder.³

The bills of lading upon which CMI relies to argue that SBA is a “shipper,” are issued by entities that are not parties to this action. They have not been deposited, and neither CMI, SBA, nor the Presiding Officer can know what they intended by writing that SBA was the “consignee.” Thus, these bills of lading are unauthenticated hearsay.

Thus, CMI’s argument is controverted by LAS Freight’s bills of lading and, importantly, the CBP Forms. Accordingly, the Presiding Officer should reject CMI’s argument that because SBA is named as “consignee” on certain bills of lading, it therefore is an NVOCC.

B) The fact that SBA paid certain invoices does not establish it was an NVOCC.

Lastly, CMI argues that because SBA paid certain invoices, it was acting as an NVOCC. *See* Reply at 6 n.7; *id.* at 15. However, ocean freight forwarders typically pay bills as agents of their shipper clients. The cited documents support SBA’s argument that it acted as an ocean freight forwarder, rather than an NVOCC.

³ Folders 2 and 3 do not contain any bill of lading or CBP forms. *See* JA0001–JA00011. As noted above, the cited form in Folder 13 (JA00048) and the second cited form in Folders 60 & 61 (JA00559) are not bills of lading.

III. Conclusion

For the foregoing reasons, the Presiding Officer should reject CMI's assertion that SBA is a "shipper" and thus an NVOCC.

Respectfully submitted,



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June 29, 2018

APPENDIX

Folder No.	CMI cited Bill of Lading⁴	LAS Freight Bill of Lading	CBP Form 3461⁵
9	Issued by Weida Freight System Co., Ltd. JA00026	Naming CMI Distribution LLC as consignee and Yantai Foodpack Packaging Products Co., Ltd. as shipper JA00023	JA00017
10	Issued as ACME Freight Services Corp. ("ACME Freight") JA 00031	Naming Hercules Poly Inc. as consignee and CMI Distribution, LLC as shipper JA00043	JA00035
16	Issued by ACME Freight JA00072	Naming Hercules Poly Inc. as consignee and CMI Distribution, LLC as shipper JA00082	JA00075
17	Issued by Sino Crown Transportation Ltd. (Draft) JA00112	Naming Ulta Distribution Center as consignee and CMI Distribution LLC as shipper (Draft) JA00103	No CBP forms in this folder
19	Issued by ACME Freight JA000118	Naming CMI Distribution LLC as consignee and Zibo Hongyeshangqin Plastic and Rubber Co., Ltd. as shipper JA00130	JA00122
21	Issued by ACME Freight JA00138	Naming Ulta Distribution Center as consignee and CMI Distribution LLC as shipper JA00149	JA00143
25	Issued by Pacific Star Express (China) Co., Ltd. ("Pacific Star") JA000169	Naming CMI Distribution, LLC as consignee and Changle Huaxin Plastic Products Co., Ltd. as shipper JA00168	JA00163
27	Issued by Pacific Star JA00191	Naming CMI Distribution LLC as consignee and Yantai Foodpack Packaging Products Co., Ltd. as shipper JA00190	JA00178
29	Issued by Acme Freight JA00200	Naming Ulta Distribution Center as consignee and CMI Distribution LLC as shipper JA00215	JA00208

⁴ These forms were all cited by CMI at Reply at 6 n.6.

⁵ Because CMI admitted that "[n]o CBP Form 7501 CMI produced states any of the 'air waybill' numbers of the SBA 'air waybill' forms CMI relies on," this table refers only to CBP Form 3461. *See* CMI Distribution Inc.'s Responses to Respondents Service By Air, Inc. and Radiant Customs Services Inc. Findings of Fact at 13 (Fact 26). Every CBP Form 3461 cited in this table listed CMI Distribution LLC as the Ultimate Consignee and did not include SBA's SCAC code "SVBA."

Folder No.	CMI cited Bill of Lading	LAS Freight Bill of Lading	CBP Form 3461
33	Issued by ACME Freight JA00224	Naming Ulta Distribution Center as consignee and CMI Distribution LLC as shipper JA000237	JA00228
36	Issued by ACME Freight JA000248	Naming CMI Distribution LLC as consignee and Yantai Foodpack Packaging Products Co., Ltd. as shipper JA00261	No CBP form in this Folder
42	Issued by ACME Freight JA00271	Naming CMI Distribution LLC as consignee and Weifang Chenxi Plastic Products Co., Ltd. as shipper JA00286	JA00277
43	Issued by ACME Freight JA00294	Naming CMI Distribution LLC as consignee and Weifang Chenxi Plastic Products Co., Ltd. as shipper JA00307	JA00298
44	Issued by Global Links Express Inc. JA00321	Naming Joshen Paper & Packing as consignee and CMI Distribution LLC as shipper JA00322	JA00326
46	Issued by ACME Freight JA00351	Naming CMI Distribution LLC as consignee and Weifang Sunshine Plastic Co., Ltd. as shipper JA00363	JA00355
49	Issued by ACME Freight JA00370	Naming Dynamex as consignee and CMI Distribution LLC as shipper JA00380	JA00373
50	Issued by ACME Freight JA00388	Naming CMI Distribution LLC as consignee and Weifang Sunshine Plastic Co., Ltd. as shipper JA00396	JA00392
51	Issued by Acme Freight JA00402	Naming Dynamex as consignee and CMI Distribution LLC as shipper JA00416	JA00405
52	Issued by ACME Freight JA00424	Naming CMI Distribution LLC as consignee and Yantai Foodpack Packaging Products Co., Ltd. as shipper JA00432	JA00428
53	Issued by ACME Freight JA00441	Naming Dynamex as consignee and CMI Distribution LLC as shipper JA00450	JA00444

Folder No.	CMI cited Bill of Lading	LAS Freight Bill of Lading	CBP Form 3461
54	Issued by Global Links Express Inc. JA00470	Naming Joshen Paper & Packing as consignee and CMI Distribution LLC as shipper JA00480	No CBP forms in this Folder
58	Issued by ACME Freight JA00489	Naming CMI Distribution LLC as consignee and Weifang Sunshine Plastic Co., Ltd. as shipper JA00500	JA00492
59	Issued by Anchor Logistics JA00512	Naming Dynamex as consignee and CMI Distribution LLC as shipper JA00545	JA00518
60 & 61	Issued by Anchor Logistics JA00557	Naming Dynamex as consignee and CMI Distribution LLC as shipper JA00590	JA00564

CERTIFICATE OF SERVICE

The undersigned declares that on the date stated below I caused to be served the foregoing document, upon the following in the manner of service indicated:

David Street
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The Foundry Building
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Attorneys for CMI Distribution, Inc.

- ☒ Via First Class U.S. Mail
- ☐ Via Priority Mail Express
- ☐ Via Express Mail
- ☐ Via Hand Delivery
- ☒ Via Electronic Mail
- ☐ Via E-Service Within Clerk's online eFiling Application

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- ☐ Via Priority Mail Express
- ☐ Via Express Mail
- ☐ Via Hand Delivery
- ☒ Via Electronic Mail
- ☐ Via E-Service Within Clerk's online eFiling Application

I declare under penalty of perjury under the laws of the state of Washington that the foregoing is true and correct.

Executed at Seattle, Washington, this 29th day of June, 2018.



Nikea Smedley